

30 July 2026

Price Target Downgrade



Euan McLeish
+81 3 5962 9611
euan.mcleish@bernsteinsg.com



Trevor Stirling
+44 20 7676 7521
trevor.stirling@bernsteinsg.com



Hao Wang, CFA
+852 2123 2627
hao.wang@bernsteinsg.com



Mufei Gao
+81 3 6777 6995
mufei.gao@bernsteinsg.com

APAC Food & Beverages

Budweiser Brewing Co APAC Ltd

Rating

Market-Perform

Price Target

📈 1876.HK

7.00 HKD (7.30 OLD)

Bud APAC Q2: China remains in investment mode as management strive to stabilize the volume decline

Bud APAC's Q2 came in broadly in line down to cc EBITDA and beat expectations at the bottom line due to lower ETR, primarily. Q2 cc revenues were down 2.1%, cc was EBITDA -9.7%, and Normalized Net Income was up 3.3%. China disappointed across the P&L while Korea margins, in particular, materially exceeded expectations. We have cut our 2026 APAC West EBITDA growth estimate to -8.0% (from -4.5%), and have raised our APAC East cc EBITDA growth to +5.7% (from +2.3%), resulting in an overall 1.9% cut to our 2026 cc EBITDA est. With management flagging continued China on-trade weakness, elevated commercial investment requirements and raw material headwinds, we have also cut our 2027 cc EBITDA estimate by 6.3% to reflect this.

China volumes declined 10% in Q2, coming in materially worse than expected. While DD Instant Retail growth and strong Super Premium performance were a bright spot and mitigated the volume weakness somewhat, cc revenue was still -8.6%. Continued investment behind the in-home RTM expansion strategy and operational deleverage drove APAC West cc EBITDA down 16.5% in Q2. We expect to see a further 100bps of APAC West margin contraction in H2 and, although China comps get easier in H2, it's hard to see Bud China materially closing the trajectory gap vs peers.

APAC East EBITDA was a big beat at +26% yoy in Q2. Revenue was +9%, and pricing + operational leverage drove 413bps of margin expansion. We expect the Korea trajectory to normalize in H2 now that the 2025 price increase impact is full cycled.

Investment Implications

We maintain our **Market-Perform** rating and **cut our PT to HK\$7.00** from \$7.30 (model). We have cut our FY27 EPS by 6% to reflect the persistent China weak performance and raw material headwinds. We maintain our P/E multiple target at 17.5x.

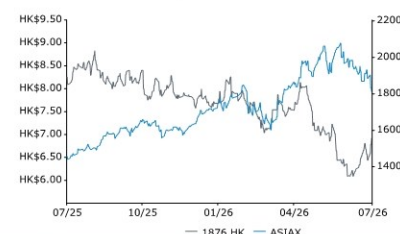
Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR
1876.HK (USD)	0.04	0.05	0.05	Revenues (M)	5,764	5,997	6,342	4.9%
				EBIT (M)	986.00	974.41	1,036	2.5%
				Net Earnings (M)	489.00	652.93	644.75	14.8%
				ROIC (%)	7.6	9.8	9.8	--
				Net Debt/EBITDA (x)	(1.61)	(1.62)	(1.59)	(0.5)%

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	29 Jul 2026			
1876.HK Close Price (HKD)	6.93			
Price Target (HKD)	7.00			
Upside/(Downside)	1%			
52-Week Range	9.42/6.00			
ASIAx	1,810.56			
FYE	Dec			
Div Yield	6.4%			
Market Cap (HKD) (M)	91,777			
EV (HKD) (M)	9,146			
Performance	YTD	1M	6M	12M
Absolute (%)	(8.7)	13.6	(10.0)	(21.0)
ASIAx (%)	10.7	(8.9)	3.6	22.8
Relative (%)	(19.4)	22.5	(13.6)	(43.8)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	23.8	17.9	18.1
PEG Adjusted (x)	(0.7)	0.5	(14.5)
EV/Sales (x)	0.2	0.2	0.2
EV/EBIT (x)	1.2	1.2	1.1
PEG Reported (x)	(0.7)	0.5	(14.5)
Reported P/E (x)	23.8	17.9	18.1
EV/FCF (x)	1.8	1.6	1.4

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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DETAILS

KEY Q2 PERFORMANCE METRICS

EXHIBIT 1: Bud APAC performance vs Bernstein and company-compiled consensus

FY26Q2 Organic Growth	Actual	Bernstein	Consensus
Volume	(4.1%)	0.1%	(1.1%)
Revenue	(2.1%)	(1.1%)	(1.6%)
EBITDA	(9.7%)	(8.7%)	(6.9%)

Source: company reports, Bernstein analysis and estimates

EXHIBIT 2: Bud APAC CONSTANT CURRENCY results summary

(in US\$m, otherwise indicated) [Organic Constant Currency Basis]	FY25Q2	FY26Q2	YoY (% / bps)	Bernstein FY26Q2	Delta
Volume (mHL)	23.9	22.9	(4.1%)	23.9	(4.2%)
Revenue	1,675	1,640	(2.1%)	1,657	(1.0%)
Revenue per HL (US\$)	70.1	71.6	2.1%	69.3	3.3%
COGS	(807)	(787)	(2.5%)		
per HL (US\$)	(33.8)	(34.3)	1.6%		
Gross Profit	868	853	(1.7%)		
as % of Revenue	51.8%	52.0%	21		
Normalized EBIT	348	313	(10.1%)	310	1.1%
as % of Revenue	20.8%	19.1%	(170)	18.7%	
Normalized EBITDA	498	450	(9.7%)	454	(1.0%)
Normalized EBITDA Margin	29.7%	27.4%	(231)	27.4%	

Source: company reports, Bernstein analysis and estimates

EXHIBIT 3: **Bud APAC REPORTED CURRENCY** results summary

(in U\$m, otherwise indicated) [Reported Currency Basis]	FY25Q2	FY26Q2	YoY (% / bps)	Bernstein FY26Q2	Delta	Bloomberg FY26Q2	Delta
Volume (mHL)	23.9	22.9	(4.2%)	23.9	(4.3%)	23.7	(3.4%)
Revenue	1,675	1,678	0.2%	1,716	(2.2%)	1,690	(0.7%)
Revenue per HL (U\$)	70.1	73.3	4.6%	71.8	2.1%	71.3	2.8%
COGS	(807)	(796)	(1.4%)				
per HL (U\$)	(33.8)	(34.8)	2.9%				
Gross Profit	868	882	1.6%				
as % of Revenue	51.8%	52.6%					
Normalized EBIT	348	322	(7.5%)	321	0.5%	302	6.8%
as % of Revenue	20.8%	19.2%		18.7%		17.8%	
Normalized EBITDA	498	463	(7.0%)	471	(1.6%)	463	(0.1%)
Normalized EBITDA Margin	29.7%	27.6%	(214)	27.4%		27.4%	
Profit Before Tax	353	346	(2.0%)	326	6.0%	313	10.7%
Income Tax	(168)	(90)	(46.4%)	(155)	(42.1%)		
effective tax rate (%)	47.6%	26.0%		47.6%			
Profit After Tax	185	256	38.4%	171	49.7%		
Net Income	175	247	41.1%	162	52.6%	184	34.4%
as % of Revenue	10.4%	14.7%		9.4%		10.9%	
Normalized Net Income	239	247	3.3%				
as % of Revenue	14.3%	14.7%	45				

Source: Bloomberg, company reports, Bernstein analysis and estimates

BERNSTEIN MODEL REVISIONS

We have raised out 2026 EPS estimates by 9% after cutting our EBITDA estimate by 2% on the back of ongoing channel investment and top line weakness, and reflecting the material positive impact of the company's lower ETR in Q2 and higher than anticipated Net Finance Costs.

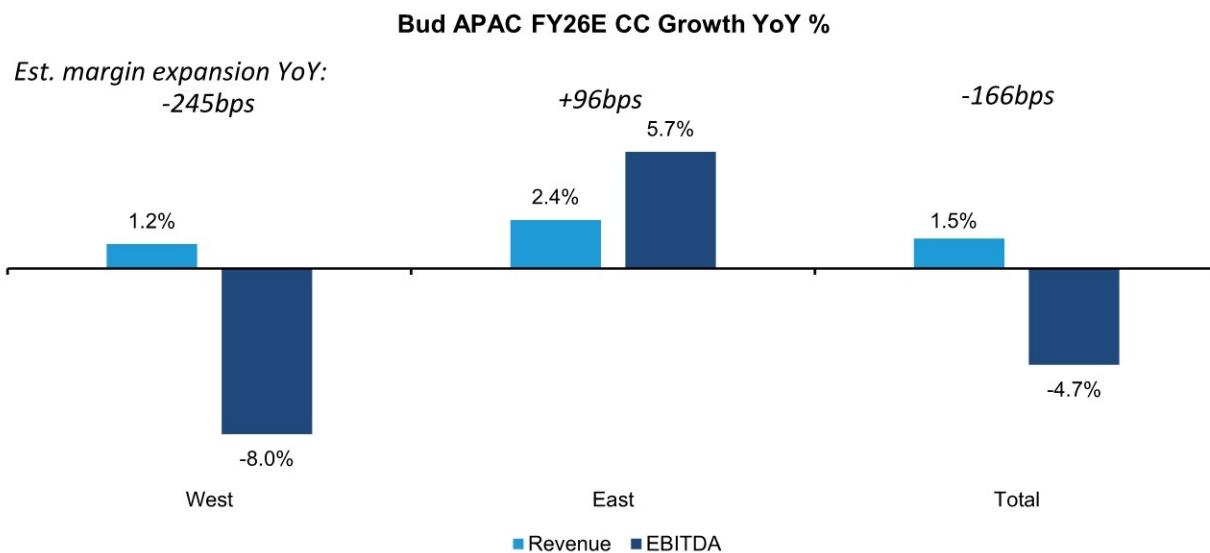
We now expect APAC West cc revenue to grow 4% while cc normalized EBITDA to decline 2% in Q3, and +8%/10% in Q4, resulting in +1%/-8% cc revenue and cc normalized EBITDA Full Year growth.

We expect APAC East cc revenue and cc normalized EBITDA to increase +2.5%/+3% in Q3, and +4%/+8% in Q4, resulting in +2%/+6% cc revenue and cc normalized EBITDA Full Year growth.

For the overall Business, we estimate cc revenue and cc normalized EBITDA to grow +4%/-1% in Q3, and 7%/7% in Q4, resulting in +1.5%/-5% cc revenue and cc normalized EBITDA Full Year growth.

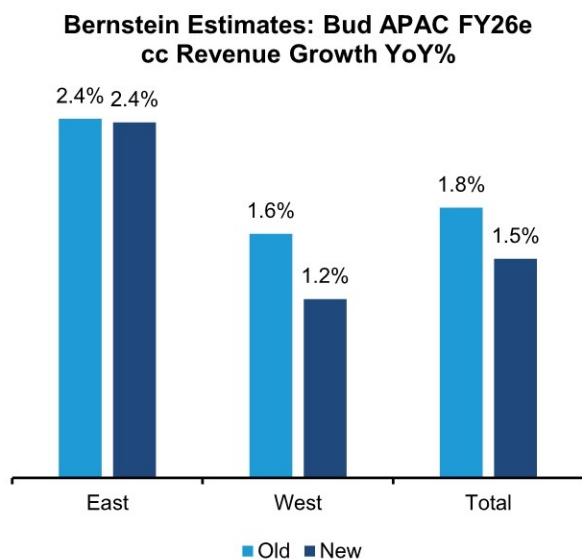
In reported currency terms, we expect Full Year revenue / normalized EBITDA to grow +4% / -2%.

EXHIBIT 4: We now expect Bud APAC revenue to increase 1.5% and EBITDA to decline 4.7% in FY26, with total 166bps of margin contraction



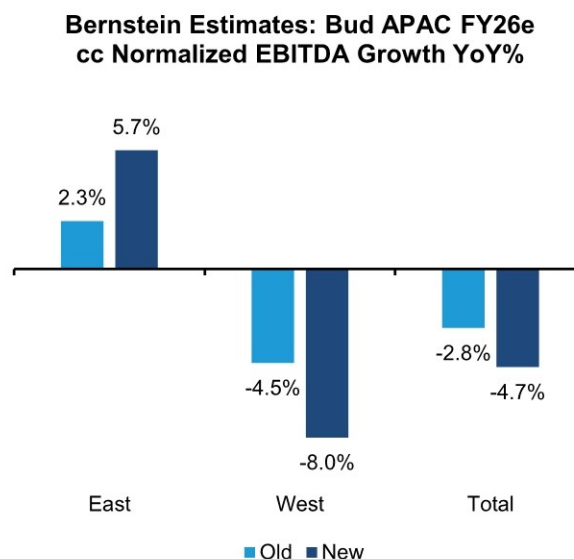
Source: Bernstein analysis and estimates

EXHIBIT 5: We have cut West cc Revenue growth by 0.4% which brings Overall cc Revenue growth to +1.5% in FY26



Source: Bernstein analysis and estimates

EXHIBIT 6: We have increased East cc EBITDA growth to +5.7% but cut West's by 3.5% and now we expect overall cc EBITDA growth to decline 4.7% in FY26



Source: Bernstein analysis and estimates

SEGMENTAL PERFORMANCE DETAILS

China volume declines deteriorated to -9.7% this Q from -1.5% in Q1. Bud China underperformed peers on top of the soft industry impacted by adverse weather, and on-premise channel still remains under pressure ([China Beer June update](#)). However, price mix became positive (+1.2%) in Q2 mainly driven by Super Premium strong momentum, and in-home momentum was

healthy with new packs launched for Corona. India continued market share gain and delivered DD revenue growth in Q2. Regional margins were down 381bps mainly due to China's operational deleverage and India's one-off commercial investment was also a drag. Government grants dropped to "close to zero" this time and will stay at the level according to the company.

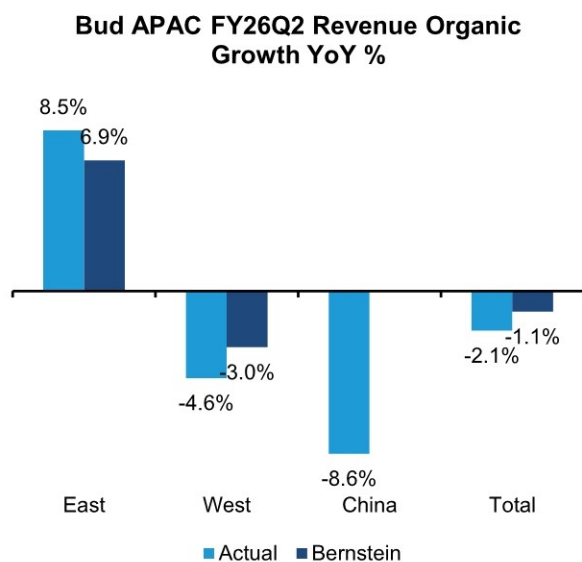
Korea volumes increased by low-teens, cycling an easier comp due to shipment phasing ahead of the price increase in last April. Regional margins were up 413bps mainly driven by operational leverage and positive pack mix in in-home channel is also a tailwind.

EXHIBIT 7: Bud APAC CONSTANT CURRENCY growth by regions

FY26Q2 Organic Growth	West	China	East	Korea
Volume	-6.0%	-9.7%	10.1%	+Low teens
Revenue	-4.6%	-8.6%	8.5%	
Revenue per HL	1.5%	1.2%	-1.5%	-LSD
EBITDA	-16.5%	-15.9%	26.3%	+ Strong DD
EBITDA margin	27.0%		29.2%	Expanded substantially

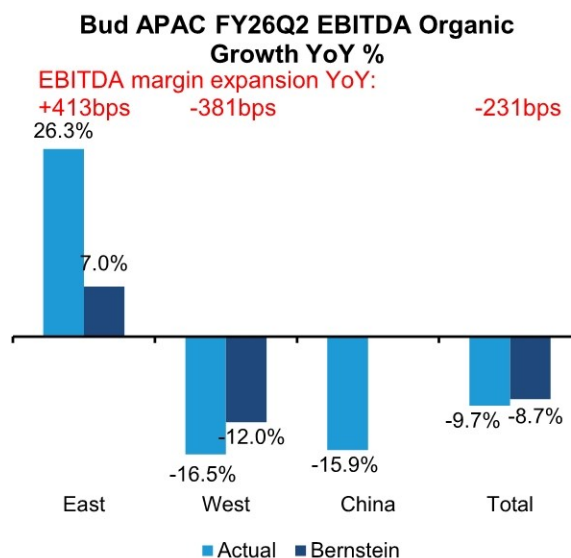
Source: company reports, Bernstein analysis

EXHIBIT 8: West Revenue was a miss with China a drag, while East was a beat



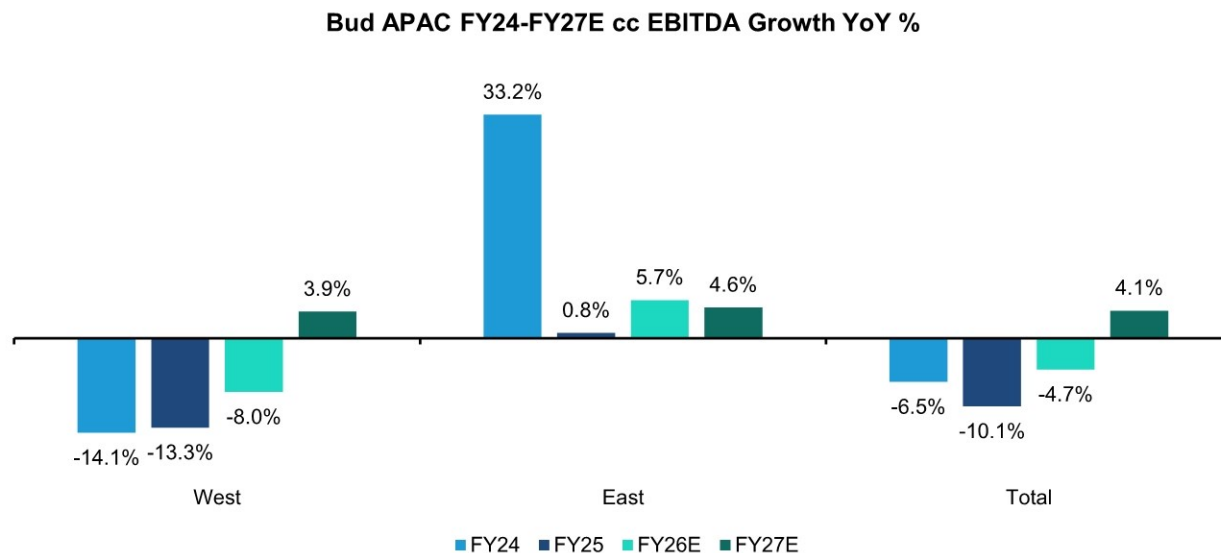
Source: company reports, Bernstein analysis and estimates

EXHIBIT 9: East EBITDA materially beats our expectation driven by operational leverage in Korea while West was a miss as China weak momentum continued



Source: company reports, Bernstein analysis and estimates

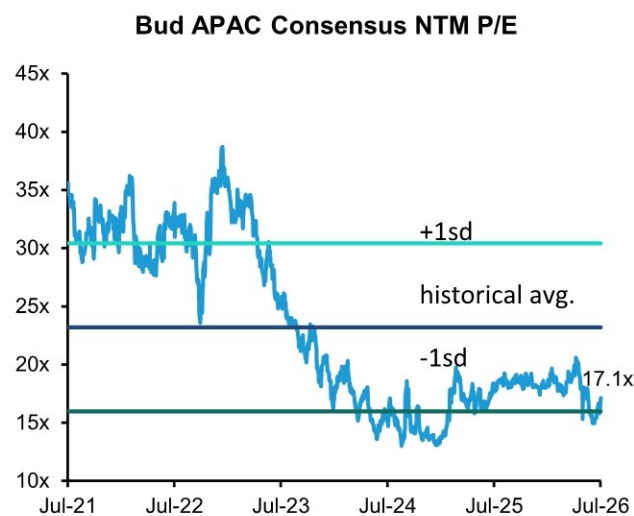
EXHIBIT 10: We expect APAC West EBITDA decline to narrow to -8% in FY26E and rebound to +4% in FY27E, while East to grow 6/5% in FY26/27E



Source: company reports, Bernstein analysis and estimates

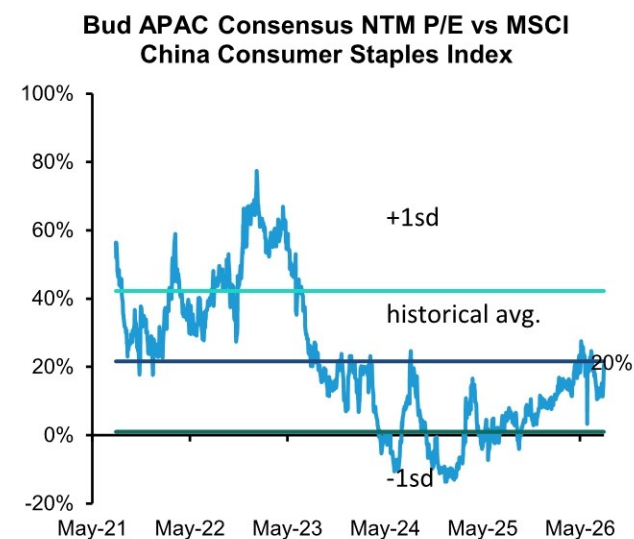
VALUATION METRICS

EXHIBIT 11: Bud APAC is trading 0.8x standard deviation below its historical average multiple

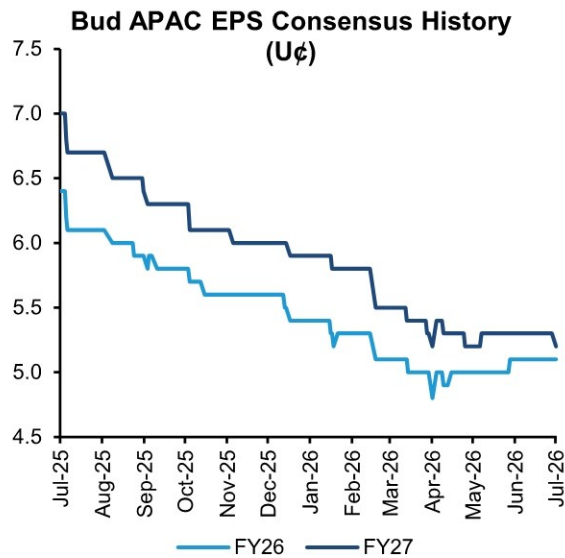


Source: Bloomberg, Bernstein analysis

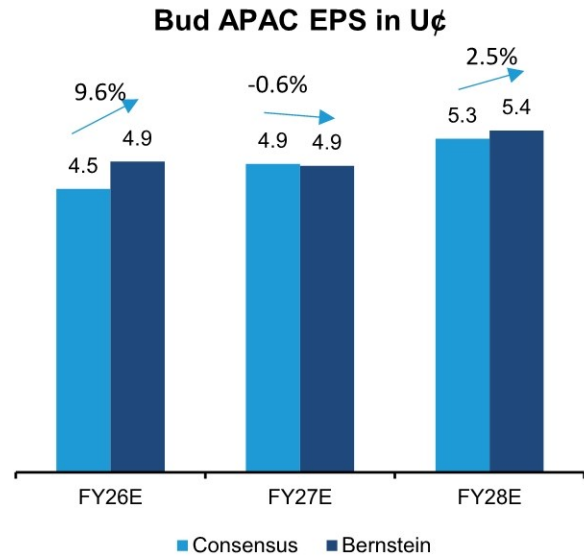
EXHIBIT 12: And its discount to benchmark index is 0.1x stdev below historical average level



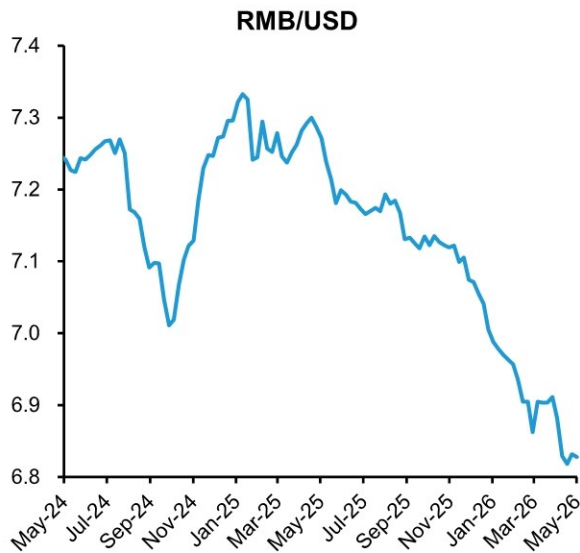
Source: Bloomberg, Bernstein analysis

EXHIBIT 13: **Market expectations have plummeted over the last 12 months**

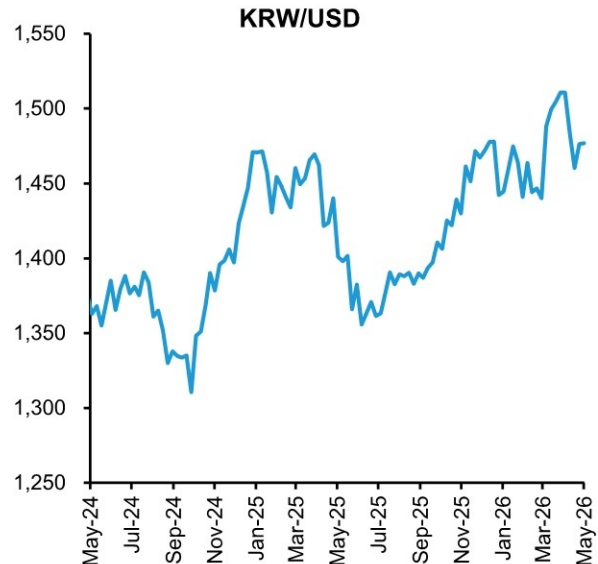
Source: Bloomberg, Bernstein analysis

EXHIBIT 14: **We are in 10% above consensus EPS est. this year but we expect consensus to catch up**

Source: Bloomberg, Bernstein analysis and estimates

EXHIBIT 15: **USD:CN¥**

Source: Bloomberg, Bernstein analysis

EXHIBIT 16: **USD:KRW**

Source: Bloomberg, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 17: Budweiser APAC Income Statement

Budweiser APAC Income Statement (in U\$m, otherwise indicated)						
	FY23	FY24	FY25	FY26e	FY27e	FY28e
Volume (in mHL)	92.8	84.8	79.7	79.3	81.6	83.9
Revenue	6,856	6,246	5,764	5,997	6,342	6,707
Cost of Sales	(3,403)	(3,099)	(2,877)	(2,993)	(3,165)	(3,348)
Gross Profit	3,453	3,147	2,887	3,003	3,176	3,359
Distribution Expenses	(520)	(496)	(441)			
Sales & Marketing Expenses	(1,201)	(1,129)	(1,091)			
Administrative Expenses	(470)	(477)	(454)			
Other Operating Income/Expenses	107	115	85			
Normalized EBIT	1,369	1,160	986	974	1,036	1,153
D&A	654	647	602	578	579	581
Normalized EBITDA	2,023	1,807	1,588	1,552	1,616	1,734
Non-recurring Items	(80)	(62)	(83)	(78)	(78)	(78)
Operating Profit	1,289	1,098	903	896	958	1,075
Non-recurring Finance Costs	0	0	0	0	0	0
Net Finance Income / Cost	10	31	10	16	16	16
Share of Results of Associates	28	31	38	44	44	44
Profit Before Tax	1,327	1,160	951	956	1,018	1,135
Income Tax	(447)	(410)	(431)	(276)	(346)	(386)
Profit After Tax	880	750	520	681	672	749
Profit Attributable to:						
Equity Holders	852	726	489	653	645	719
Non-controlling Interest	28	24	31	28	27	30
Basic EPS (U\$)	0.06	0.06	0.04	0.05	0.05	0.05
Basic Number of Shares Outstanding (mn)	13,220	13,187	13,196	13,234	13,234	13,234
Key Ratios						
Revenue growth YoY %	5.8%	-8.9%	-7.7%	4.0%	5.8%	5.8%
EBITDA growth YoY %	4.7%	-10.7%	-12.1%	-2.3%	4.1%	7.3%
Net Profit growth YoY %	-6.7%	-14.8%	-32.6%	33.5%	-1.3%	11.5%
Gross Profit as % of Revenue	50.4%	50.4%	50.1%	50.1%	50.1%	50.1%
EBIT margin	20.0%	18.6%	17.1%	16.2%	16.3%	17.2%
EBITDA margin	29.5%	28.9%	27.6%	25.9%	25.5%	25.9%
Net Profit margin	12.4%	11.6%	8.5%	10.9%	10.2%	10.7%
ROIC %	11.6%	10.4%	7.6%	9.8%	9.8%	11.1%
Tangible ROIC %	36.5%	29.5%	22.3%	30.5%	31.6%	35.5%

Source: company reports, Bernstein analysis and estimates

EXHIBIT 18: **Budweiser APAC Balance Sheet**

Budweiser APAC Balance Sheet						
(in U\$m, otherwise indicated)	FY23	FY24	FY25	FY26e	FY27e	FY28e
Inventories	444	376	343	374	396	418
Trade and Other Receivables	609	496	505	504	516	527
Derivatives	23	29	43	43	43	43
Cash and Cash Equivalents	3,141	2,867	2,828	2,795	2,845	2,973
Cash Pooling Deposits to AB InBev	25	48	71	71	71	71
Other Current Assets	17	16	25	25	25	25
Total Current Assets	4,259	3,832	3,815	3,812	3,895	4,057
Property, Plant and Equipment	2,986	2,585	2,379	2,367	2,355	2,343
Goodwill	6,435	5,945	6,130	6,130	6,130	6,130
Intangible Assets	1,572	1,456	1,477	1,477	1,477	1,477
Land use right	210	199	200	200	200	200
Investment in Associates	481	504	525	525	525	525
Deferred Tax Assets	231	198	200	200	200	200
Trade and Other Receivables	60	59	47	47	47	47
Total Non-current Assets	11,975	10,946	10,958	10,946	10,934	10,922
Total Assets	16,234	14,778	14,773	14,758	14,829	14,979
Bank Overdrafts	0	0	0	0	0	0
Interest-bearing Loans and Borrowings	237	136	217	217	217	217
Trade and Other Payables	2,638	2,228	2,111	2,257	2,387	2,524
Payables with AB InBev	104	91	110	110	110	110
Consigned packaging and contract liabilities	1,456	1,306	1,212	1,212	1,212	1,212
Derivatives	10	3	3	3	3	3
Provisions	71	9	18	18	18	18
Other Current Liabilities	133	160	166	166	166	166
Total Current Liabilities	4,649	3,933	3,837	3,983	4,113	4,250
Interest-bearing Loans and Borrowings	94	68	60	60	60	60
Loans with AB InBev to be Capitalized upon IPO	0	0	0	0	0	0
Deferred Tax Liabilities	421	375	384	384	384	384
Trade and Other Payables	18	13	7	7	7	7
Derivatives	0	0	0	0	0	0
Provisions	96	65	67	67	67	67
Other Non-current Liabilities	106	84	90	90	90	90
Total Non-current Liabilities	735	605	608	608	608	608
Total Liabilities	5,384	4,538	4,445	4,591	4,721	4,858
Total Equity	10,850	10,240	10,328	10,167	10,108	10,121
Total Equity and Liabilities	16,234	14,778	14,773	14,758	14,829	14,979
Net Debt / EBITDA	-1.4x	-1.5x	-1.6x	-1.6x	-1.6x	-1.6x

Source: company reports, Bernstein analysis and estimates

EXHIBIT 19: **Budweiser APAC Cash Flow Statement**

Budweiser APAC Cash Flow Statement						
(in U\$m, otherwise indicated)	FY23	FY24	FY25	FY26e	FY27e	FY28e
Net income before MI	880	750	520	681	672	749
Depreciation and Amortisation	654	647	606	578	579	581
Change in working capital	222	(540)	(95)	116	97	103
Others	55	277	(80)	0	0	0
Net Cash flows from operating activities	1,811	1,134	951	1,374	1,348	1,434
Net Cash flows from investing activities	(447)	(409)	(324)	(566)	(567)	(569)
Net Cash flows from financing activities	(621)	(903)	(738)	(842)	(731)	(737)
Foreign exchange rate impact on cash	(60)	(96)	72	0	0	0
Net change in cash and cash equivalents	683	(274)	(39)	(33)	50	128
Cash and cash equivalents less bank overdrafts at end of period	3,141	2,867	2,828	2,795	2,845	2,973

Source: company reports, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	29 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
1876.HK (Bud APAC)	M	HKD	6.93	7.00	(43.8)%	USD	0.04	0.05	0.05	23.8	17.9	18.1
OLD				7.30								
ASIA			1,810.56									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Budweiser Brewing Co APAC Ltd**

We set a HK\$7.00 price target for Bud APAC using a P/E multiple of 17.5x against our forward NTM+1 EPS estimate of U\$0.05, which implies an NTM EV/EBITDA multiple of 6.5x based on our forward NTM+1 EBITDA estimate of U\$1.7b.

RISKS**Budweiser Brewing Co APAC Ltd**

Potential downside risks to our Price Target for Budweiser APAC:

- Stronger US dollar could decrease the earnings contribution from the region
- China macro risk – a major shock to the economy results in lower growth of Premium-and-above beer consumption demand
- US-China trade war resulting in boycotting of the US products in China and hitting consumer spending
- Increasingly aggressive competition in Korea beer market and further weakening of consumer spending.

Potential upside risks to our Price Target for Budweiser APAC:

- A material recovery of China's on-trade channel, particularly the nightlife channel, as Bud China is disproportionately higher exposed to this versus its competitors
- Beer sales in Bud China's key footprints rebounding faster than other regions in China
- Their Core++ strategy playing out which drives top line momentum and operational leverage

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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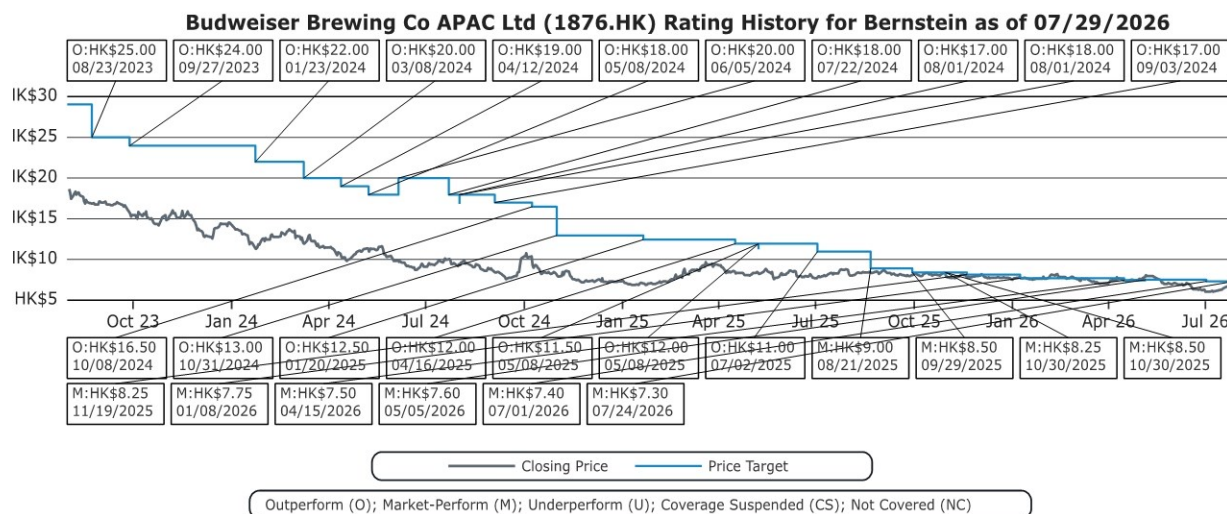
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